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Anthony Wheaton v. Warner Music Group, et al.

DEMURRER TO SECOND AMENDED COMPLAINT

MOVING PARTY: Defendants Warner Music Group Corp. and Atlantic Recording Corporation

RESPONDING PARTY(S): None.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Anthony Wheaton (Plaintiff) is a musician. Plaintiff alleges that he entered into an agreement with defendants Warner Music Group Corp. and Atlantic Recording Corporation (collectively, Defendants). Plaintiff alleges that Defendants have not paid money owed under the agreement. Plaintiff alleges causes of action for: (1) breach of contract; (2) breach of good faith and fair dealing; and (3) unjust enrichment.

Defendants now demur to the entirety of the second amended complaint (SAC). Plaintiff did not file an opposition. Defendants filed a notice of non-opposition. [FN 1]

TENTATIVE RULING:

Defendants' demurrer to first cause of action (breach of contract) is SUSTAINED. Whether leave to amend is granted will be determined at the hearing.

Defendants' demurrer to the second and third cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

Defendants are ordered to give notice, unless waived.

DISCUSSION:

Demurrer to Second Amended Complaint

I. Meet and Confer

The Declaration of attorney Alexandra L. Anfuso reflects that the meet and confer requirement was satisfied.

II. Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Pro. § 430.30, subd. (a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Ibid.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, at p. 747.) “We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Serrano v. Priest (1971) 5 Cal.App.3d 584, 591.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

III. Analysis

Defendants demur to the entirety of the SAC on grounds that each cause of action fails to state facts sufficient to constitute a cause of action.

1. First Cause of Action (Breach of Contract)

Defendants argue that the first cause of action for breach of contract fails as Plaintiff does sufficiently allege facts to establish the existence of a contract and the action is barred by the statute of limitations.

To state a cause of action for breach of contract, Plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Here, Plaintiff alleges there was both an implied and an oral contract between the parties. (SAC ¶¶35, 40.) Plaintiff “entered in to a production label Agreement (“Agreement”) whereby SIR JINX asserts that he wrote and produced all songs for the album “Make Way for The Motherload” (“Make Way Album”) for WMAR Defendants and in exchange Defendants would pay SIR JINX for said album as well as royalties for said album.” (SAC ¶41.) Plaintiff alleges he “is entitled to payment and royalties for his produced songs.” (SAC ¶45.) Plaintiff “performed by providing not less than twenty-eight (28) songs to” Defendants. (SAC ¶46.) Plaintiff “has incurred damages due to the Defendants’ failure to pay royalties as well as the failure to provide the accounting for the song as listed herein.” (SAC ¶52.)

As an initial matter, the allegations are sufficient to plead the cause of action for breach of contract. The Court recognizes Defendants’ argument that the SAC is, to a degree, uncertain and ambiguous, however, demurrers for uncertainty are disfavored and should only be sustained where the complaint is so uncertain that the demurring defendant cannot reasonably respond thereto. (See, e.g., Khoury v. Maly’s of Calif., Inc. (1993) 14 Cal.App.4th 612, 616). Here, Plaintiff’s SAC is not so uncertain that Defendants cannot reasonably respond thereto. Moreover, even if the pleading is somewhat vague, “ambiguities can be clarified under modern discovery procedures.” (Ibid.)

Further, it is not clear that the statute of limitations does, in fact, bar the cause of action on the face of the SAC. A demurrer should be sustained where “the complaint shows on its face that the statute [of limitations] bars the action.” (*E-Fab, Inc. v. Accountants, Inc. Services*, (2007) 153 Cal.App.4th 1308, 1315.) “[T]he defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.” (*Id.* at p. 1316.) The court must determine which statute of limitations applies and when the claim accrued. (*Ibid.*)

Here the cause of action is subject to a two-year limitations period. (Code Civ. Proc. § 339.) However, Plaintiff does not allege when Defendants’ breaches occurred nor allege when Defendants’ obligations became due under the Agreement. Instead, Plaintiff alleges, “in and around September 2019, SIR JINX informed Defendants there was an issue regarding the failure to pay royalties pursuant to ongoing and current production label Agreements the parties agreed upon regarding payments and royalties.” (SAC ¶21.) Plaintiff later states, “in or around November 5, 2023, Plaintiff realized the Agreement was breached and violated by Defendants because he was not receiving the proper due and owed royalties to which he is still has not received to date.” (SAC ¶48.) These allegations create an ambiguity that makes the statute of limitation issue not clearly disposed of on the face of the SAC. While these allegations demonstrate that Plaintiff knew of a breach either in 2019 or 2023, there are no allegations that clearly state when the breach occurred. Indeed, the breach on which this action relies may have occurred at any point before 2023. There are also vague allegations concerning the “continuing violations doctrine.” See, e.g., SAC, ¶¶ 9-12.

Accordingly, Defendant’s demurrer to the first cause of action is **OVERRULED**. Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) Whether leave to amend is granted will be determined at the hearing.

2. Second Cause of Action (Breach of Good Faith and Fair Dealing)

“A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment.” (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1394.) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (*Id.* at pp. 1394-1395.) To recover in tort for breach of the implied covenant, the defendant must “have acted unreasonably or without proper cause.” (*Id.* at p. 1395, citations and italics omitted.)

Here, Plaintiff alleges “Defendants failed to perform in accordance with the terms of the Agreement by failing to provide proper payments, royalties as well as an accounting to Plaintiff.” (SAC ¶71.) “Defendant’s failure to pay and provide the accounting unfairly frustrates Plaintiff SIR JINX’s right to receive the benefits of the mutual Agreement between the parties in this case.” (SAC ¶76.) These are the same allegations alleged to support the first cause of action for breach of contract. (See SAC ¶¶39-59.) Because Plaintiff’s allegations do not go beyond the statement of a mere contractual breach and simply relies on the same acts and seeks the same damages already claimed in the breach of contract cause of action, they may be disregarded as superfluous as no additional claim is stated. (See *Careau & Co. v. Security Pacific Business Credit, Inc.*, supra, 222 Cal.App.3d at p. 1394

Accordingly, Defendants’ demurrer to the second cause of action is **SUSTAINED**.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Ibid.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, by failing to oppose, Plaintiff has not met that burden. Accordingly, leave to amend is **DENIED**.

3. Third Cause of Action (Unjust Enrichment)

Defendants demur to the third cause of action for unjust enrichment on the grounds that Plaintiff has not alleged facts that would allow for recovery under this cause of action.

Strictly speaking, there is no cause of action for unjust enrichment; rather, unjust enrichment is a basis for obtaining restitution based on quasi-contract or imposition of a constructive trust. (McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1490.) Nevertheless, one can plead and prove a cause of action based on a theory of unjust enrichment. (See, e.g., Ghirardo v. Antonioli (1996) 14 Cal.4th 39, 44.) “The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.” (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769, quotation marks and citations omitted.)

However, a quasi-contract cannot lie where the cause of action is based upon an express contract. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 231 (Rutherford).) In Rutherford, the Court of Appeal explained:

“[A]n action based on an implied-in-fact or quasi-contract cannot lie where there exists between the parties a valid express contract covering the same subject matter.” [Citation.] However, “restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason.” [Citation.] Thus, a party to an express contract can assert a claim for restitution based on unjust enrichment by “alleg[ing in that cause of action] that the express contract is void or was rescinded.” [Citation.] A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim that alleges the existence of an enforceable agreement. [Citation.]

(Rutherford, supra, 223 Cal.App.4th at p. 231.)

Here, Plaintiff alleges: “Defendants knew and are fully aware that Plaintiff SIR JINX performed in accordance with the Agreement and trusted that Defendants would do the same.” (SAC ¶88.) “Yet, it is clear, Defendants failed to do the same. In fact, Defendants accepted, used, and continue to enjoy the benefit of their breach and refusal to properly perform and provide an accounting in this matter.” (SAC ¶89.) “Defendants’ acts, omissions, representations and breached Agreement.” (SAC ¶91.)

Here, the right to payment arises out of the breach of contract. However, Plaintiff does not allege that the agreements are void, rescinded, or other facts to indicate that the agreements are unenforceable or ineffective for some reason, even as an alternate claim to the first cause of action for breach of contract. As such, the unjust enrichment cause of action is deficient. (See Rutherford, supra, 223 Cal.App.4th at p. 231.)

Accordingly, Defendants’ demurrer to the third cause of action for unjust enrichment is SUSTAINED.

Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Ibid.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) This is the second demurrer to this cause of action on identical grounds. Plaintiff failed to sufficiently amend this cause of action despite leave to do so. Further, by failing to oppose Plaintiff has not met their burden to demonstrate this cause of action can be successfully amended. Accordingly, leave to amend is DENIED.

Dated: July 7, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

FN 1 - Although there was no written opposition filed, this Court is still required to review and consider the merits of this demurrer – it is not automatically sustained. Be that as it may, the Plaintiff does not have the right (and thus will not be allowed) to orally oppose the demurer at the hearing. (See, CRC, rule 3.1320 (f).) Plaintiff may be allowed to orally make an offer of proof as to any request for leave to amend.